Gina Milroy

From: Gina Milroy
Sent: Monday, July 31, 2017 3:22 PM
Subject: AAVIN Equity Partners I, LP - June 30, 2017 - Interim Financials and Valuations
Attachments: AEP1 FS June 30 2017.pdf; Archon fka Hoffco Valuation 063017.pdf

Importance: High

SendToQuickBaseInfo: 1-bjqjpz37w:bjqjpz39h:2755:1:bjqjpz38t:1203

Dear AAVIN Partner,

Attached for your review are AAVIN Equity Partners I, LP's (the Fund) interim financials and valuation for the second quarter ended June 30, 2017.

As stated in the March 2017 financial report now that the Fund has fully repaid it's SBA leverage we are in the process of winding up the Fund. It is currently anticipated that will occur after the receipt of the final Coolibar escrow.

The Coolibar escrow which will be released on two different dates, Jan.1, 2018, and Dec. 31, 2018. These escrows are currently valued at $309,225, which is unchanged from March 31, 2017.

The Fund also holds a nominal amount of stock in Alliqua from the exit of Celleration. This stock will be liquidated and converted to cash by the end of the Fund.

The final portfolio asset remaining is Archon Woodworks. We currently hold Series C preferred stock which we have valued at $0. The Company has implemented cost cutting measures and sales efforts which have resulted in an uptick in performance which we are monitoring closely. The valuation attached is for Archon.

The attached financials and valuation will also be available via our website (www.aavin.com) PARTNER PORTAL. If you have any questions regarding access to the portal please contact Gina Milroy gmilroy@aavin.com.

If you have questions or have items you wish to discuss please contact me.

Regards,

Jim

James D. Thorp
Managing Partner

AAVIN PRIVATE EQUITY

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AAVIN EQUITY PARTNERS I, LP

Financial Package

June 30, 2017

Financials

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AAVIN Equity Partners I, LP
Balance Sheet
As of June 30, 2017

Assets

Loans and Investments:		
Equity in Small Businesses, valued at cost (see page 5)	$	-
Assets Acquired in Liquidation of Portfolio Securities - Alliqua		18,492
Coolibar Escrows		309,225
		327,718
Current Assets:		
Cash		349,697
Total Assets	$	677,415

Liabilities & Partners' Equity

Current Liabilities:		
Management Fees Payable (Note 5)		131,970
		131,970
Other Liabilities		
Preferred Participating Securities - SBA (Note 3)		
Total Liabilities		131,970
Partners' Equity		
Contributed Capital (Net of distributions)		313,990
Accumulated Net Operating Income		37,574
		351,564
Unrealized Appreciation on Investments - Coolibar Escrows		309,225
Unrealized Depreciation on Investments		(115,345)
		193,881
Net Partners's Equity		545,445
Total Liabilities & Partners' Equity	$	677,415

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AAVIN Equity Partners I, LP
Statement of Operations
For the second quarter ended June 30, 2017

Investment Income:	-
Operating Expenses:	
Management Expense	65,879
Insurance - D&O	317
Partnership Taxes	300
Legal Fees	4,879
Auditing, Tax & Exam Costs	9,370
Dues	30
Other Expense	338
Total Expenses	81,113
Income (Loss) before Net Realized Gain(Loss) on Investments	(81,113)
Gain on Assets Acquired in Liquidation of Portfolio Securities (See Page 6)	33,271
Net Realized Gain(Loss) on Investments	33,271
Net Income (Loss) Realized from Operations	$ (47,842)

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Statement of Cash Flows
For the second quarter ended June 30, 2017

Operating Activities:	
Net Income (Loss)	($47,842)
Adjustments to reconcile net cash provided by operations:	
Management Fees Payable	(59,121)
Net cash (used)/provided by Operating Activities	(106,963)
Investing Activities:	
Alliqua Stock Received	(14,873)
Net cash used in Investing Activities	(14,873)
Financing Activities:	
Net cash provided by Financing Activities	0
Net cash increase(decrease) for the period	(121,836)
Cash at beginning of period	471,534
Cash at end of period	$349,697

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AAVIN Equity Partners I, LP
Partners' Equity
As of June 30, 2017

Partner	Commitment	Distributions to Date	Estimated Remaining Asset Value	Multiple
OAH Investments, LC	$ 500,000	801,676	$ 13,961	1.63
Jonathan F and Anne W Boucher	750,000	1,202,638	20,941	1.63
Commerce Bancshares, Inc.	1,000,000	1,603,599	27,921	1.63
Thomas & Katherine Brown	500,000	801,676	13,961	1.63
Lisa Kempston	166,666	267,225	4,654	1.63
Gregory Christensen	166,667	267,225	4,654	1.63
Allison Martyr	166,667	267,225	4,654	1.63
James L Cram	500,000	801,676	13,961	1.63
Terry & Laura Dement	225,000	361,092	6,282	1.63
Jeffrey Cannon	500,000	801,676	13,961	1.63
Steven F Dummermuth	500,000	801,676	13,961	1.63
Fred W Hagemann	500,000	801,676	13,961	1.63
Eric Hender	250,000	400,963	6,980	1.63
Jordan Family Trust	250,000	400,962	6,980	1.63
Gretchen S Jordan 1998 Trust	250,000	400,962	6,980	1.63
Kirk Kaalberg	1,750,000	2,806,237	48,862	1.63
Eugene Larson, Revocable Trust	500,000	801,675	13,961	1.63
Casey Mahon	100,000	160,486	2,792	1.63
Mary McLeod 1998 Trust	1,850,000	2,966,471	51,654	1.63
Michael Peterson	500,000	801,675	13,961	1.63
Paul Rhines	360,000	577,673	10,052	1.63
Karen Rhines	360,000	577,673	10,052	1.63
Robert G Rhines	93,500	149,600	2,611	1.63
Amanda L Hennessey	93,500	149,600	2,611	1.63
Lisa K Ponto	93,500	149,600	2,611	1.63
Riley M Parry-Hennessey	24,750	39,600	691	1.63
Griffin P Rhines	24,750	39,600	691	1.63
Smulekoff Investments	625,000	1,002,279	17,451	1.63
Bruce A Thayer	1,000,000	1,603,600	27,921	1.63
Susan M Thayer	500,000	801,676	13,961	1.63
TJT(B) (Bermuda)Prism Inv Co.	1,000,000	1,603,600	27,921	1.63
David & Tami Young	500,000	801,675	13,961	1.63
Total Limited Partners'	$ 15,600,000	$ 25,014,667	$ 435,572	1.63

AAVIN, LLC - GP	114,393
Payables as of June 30, 2017	131,970
Total Assets as of June 30, 2017	$ 681,935

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Schedule of Investments Held
As of June 30, 2017

Company	Security	SBA Guideline Value	Cost
Manufacturing			
Archon Woodworks, Inc. (fka Hoffco, Inc.)			
Cabinet manufacturing			
Wood Lake, MN	1,000 shares Class C Preferred	-	100,000
		-	100,000
	Total	$ -	$ 100,000

AAVIN Equity Partners I, LP

Gain on Assets Acquired in the Liquidation of Portfolio Securities:

For the second quarter ended June 30, 2017

Date	Description		Amount
3/17/2017	Release of final Celleration earnout and expense escrow	$	18,397
3/23/2017	Alliqua stock received - 22,533 shares @ $.66/share		14,874
Total		$	33,271

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AAVIN Equity Partners I, LP
Notes to Financial Statements
June 30, 2017

1. Description of the Partnership:

AAVIN Equity Partners I, LP (the Partnership) is a limited partnership formed to achieve long-term capital appreciation from investments in portfolio companies. AAVIN Equity Advisors, LLC (AAVIN) is an affiliated investment management company that performs investment management services for the benefit of the Partnership pursuant to the terms of their management agreement. The general partner of AAVIN Equity Partners I, LP is AAVIN, LLC, which is an affiliate of AAVIN.

On September 21, 2000, the Partnership was licensed as a Small Business Investment Company (SBIC) under the Small Business Investment Act of 1958 and is subject to the reporting requirements and regulations of the Small Business Administration (SBA).

In accordance with the Limited Partnership Agreement (the Agreement), the Partnership will terminate on either the withdrawal, dissolution or bankruptcy of the general partner or the later of: (1) January 20, 2010, (2) two years after the preferred limited partner has withdrawn from the Partnership, or (3) the election of the general partner and the majority of the private limited partners to dissolve the Partnership. The life of the Partnership may be extended for two additional two-year periods as determined by the general partner.

2. Significant Investment and Accounting Policies:

Loans & Investments in Portfolio Securities
The Partnership has received the final escrow funds and distribution of Alliqua stock related the exit of Celleration in the first quarter of 2017. Currently, there are two remaining Coolibar escrows which are scheduled to be disbursed in January and December of 2018.

Cash and Cash Equivalents
For purposes of the statement of cash flows, the Partnership considers all highly liquid investments maturing in three months or less to be cash equivalents.

Deferred Financing Costs
Deferred financing costs consist of financing fees paid to the SBA and underwriting expenses incurred, in connection with each capital contribution received through the SBA. These costs were amortized over five years and are now fully amortized.

Income Taxes
Each partners' share in the tax basis income or loss of the Partnership is reportable in each respective partners' income tax returns.

Use of Estimates
The preparation of the financial in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that

affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from those estimates.

3. SBA Preferred Limited Partnership Interest:

In July 2016, the Fund repaid all leverage and outstanding prioritized payments and charges due to the SBA. The Fund continues to be liable to the SBA for profit participation that is generated, however, it is unlikely given the remaining assets in the portfolio any profit participation will be generated.

The following is a table of leverage commitments drawn and amounts paid to the SBA:

Date	Leverage Drawn	Prioritized Payments/Charges	Profit Participation	Total Payments SBA
9/30/2005	$ 698,309			$ 698,309
10/30/2006	3,328,018			3,328,018
5/1/2007	1,363,497			1,363,497
1/10/2008	1,229,742	$ 803,557		2,033,299
5/1/2008	2,772,126	1,711,372		4,483,498
8/1/2009	6,572,818	6,678,445	$ 1,565,127	14,816,390
11/1/2009	638,796	293,684		932,480
5/1/2010		134,255		134,255
7/29/2010	923,849	495,849		1,419,698
2/28/12	8,561,049	1,553,717		10,114,766
11/7/12	425,789	336,460		762,249
2/1/13	237,271	63,004		300,275
5/1/13		3,001		3,001
7/17/14	211,800	483,373		695,173
10/17/14	33,389	77,381		110,770
4/22/15		75,674		75,674
5/1/16		299,412		299,412
7/27/16	4,058,547	174,725		4,233,272
Total Payments	$ 31,055,000	$ 13,183,909	$ 1,565,127	$ 45,804,036

4. Capital Allocations and Distributions:

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below except as set forth in *Note 3* regarding the SBA's preferred limited partnership interest.

Net losses are generally allocated to the private partners in the following order: first, net losses are allocated to offset any net profits that have been allocated during the prior periods, and second, to the private partners in proportion to their partnership percentages. The Agreement also provides that at such time that the capital account of the general partner or any limited partner is reduced to an amount equal or less than the aggregate capital contributions of such private partners, then the balance of all net losses is allocated first to the capital accounts of the private partners until such time as their capital accounts are reduced to zero, second to the preferred limited partnership interest until such time its capital account is reduced to zero, and finally, any balance is allocated to the general partner. Net profits are first allocated in a manner to cure any allocation of previous losses as described above. The preferred limited partnership interest is then entitled to an allocation of the prioritized payments and profit participation as described in *Note 3*. The balance of any net profits is then allocated 80% to private partners pro rata according to their respective partnership percentages and 20% to the general partner.

Distributions to partners, other than tax distributions, are first made to the preferred limited partnership interest as described in Note 3. Next, distributions are generally made to the private partners in an amount equal to reimburse each private partner for the expenses, costs and losses associated with disposed securities and securities in which the value is less than original cost. Thereafter, distributions are made 80% to the private partners pro rata according to their respective partnership percentages and 20% to the general partner. Certain distributions to the general partner are restricted until final dissolution of the Partnership.

5. Management Agreement and Related Party Transactions:

The Partnership is managed AAVIN. Under the terms of the management agreement, AAVIN provides essentially all of the management and administrative services required by the Partnership. The management agreement expires upon termination of the Partnership.

Under the management agreement, AAVIN pays the normal operating expenses of managing the Partnership and portfolio investments. Through April 30, 2004, AAVIN received an annual management fee computed on a daily basis equal to the product of three times the aggregate regulatory capital (as defined by the SBIC regulations) multiplied by 2.5% and reduced by excess application, closing and/or breakup fees over related expenses. Subsequent to April 30, 2004, AAVIN is entitled to receive the lesser of the above calculation or 2.5% of general/limited partner commitments plus SBA commitments reduced by fees as described above. Subsequent to the fifth anniversary of the Partnership, AAVIN is entitled to receive an annual management fee computed on a daily basis equal to the product of the aggregate combined capital (as defined in the SBIC regulations) of the Partnership multiplied by 2.5% less fees described above, plus $125,000 when aggregate combined capital falls below $20 million. Combined capital as of June 30, 2017 is $313,990. Management fees for the second quarter ended June 30, 2017 totaled $65,879. Management fees of $131,970 were payable to AAVIN as of June 30, 2017.

AAVIN Equity Partners I, L.P.

Investment Valuation Report

June 30, 2017

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Investment Date: December 1st, 2004

AAVIN Principal: Kirk Kaalberg, Board Member

	Outstanding	Fully Diluted
Equity Ownership:	15.38%	15.38%

	Valuation 12/31/2016	Valuation 6/30/2016	Change	Cost 12/31/2016
Class C Preferred	$0	$100,000	(100,000)	$100,000
	$0	$100,000	($100,000)	$100,000

Equity Valuation:	$ 650,195	Enterprise Valuation:	$ 3,775,195

Valuation

The Company's financial performance has improved. However that improvement is not either significant enough or long term enough to warrant a change in valuation.

Preference Discussion & Liquidation Waterfall

In any liquidation all series of preferred stock issued by the company must be redeemed and dividends paid prior to any proceeds being distributed to common interests. Archon has three series of preferred, A, B and C.

Class C 8% Cumulative Preferred Stock is the most senior. Class C is entitled upon liquidation the first $10 million of distributable proceeds and then 2/3's of any other distributions in excess of $10 million. AEP1 owns 15.38% of the Class C.

After the liquidation payments to Class C the Class B 8% Cumulative Preferred Stock is next in priority. Class B shall receive an amount equal to its stated value plus accrued dividends out of 1/3 of all distributions made upon liquidation after the first $10 million. The initial total stated value of Class B is $5,110,001.01 to which accumulated dividends at 8% would be added. AEP1 owns 19.74% of the Class B.

After the liquidation payments to Class B the Class A 8% Cumulative Preferred Stock is next in priority. Class A shall receive an amount equal to its stated value

plus accrued dividends out of 1/3 of all distributions made upon liquidation after the first $10 million and amounts paid to class B shareholders. The initial total stated value of Class A is $3,542,113.00 to which accumulated dividends at 8% would be added. AEP1 owns 37.70% the Class A.

After all liquidation payments to Class A then common interest shall receive 1/3 of all remaining proceeds to be distributed. AEP1 owns 33.6% of the common interests.

Business Description

On December 17, 2013, Hoffco, Inc. changed its name to Archon Woodworks, Inc. ("Archon" or the "Company"), is a designer and manufacturer of specialty wood components sold to kitchen cabinet makers and wood office furniture manufacturers. Archon is an innovator in the specialty kitchen cabinet niche with strong customer relations and a reputation for high-quality products and service.

Archon pioneered the idea of selling kitchen accessories to cabinetmakers over 22 years ago. Today, Archon sells over 4,300 products in 43 states and continues to provide innovative, short-run components to the industry's largest kitchen cabinet makers. Archon's top selling products include patented Reverse-A-Rack custom storage systems, appliance garages, patented tambour guides, arched valances, and pantry swing shelves. Archon owns the KitchenAire@ trademark and markets a line of premium kitchen ventilators under this widely recognized brand. The Company is located in Wood Lake, Minnesota, approximately 120 miles southwest of Minneapolis.

In December 2005, Archon purchased Valley Oak cabinets of Omaha, Nebraska, for a total of $3,543,000 from Barry Kolterman the sole owner of Valley Oak. The purchase price was approximately 3 times EBITDA. Valley Oak manufactures and sells kitchen cabinet doors to the home remodeling industry.

Financing

On December 1, 2004, AAVIN Equity Partners I, L.P. ("AEP1") purchased 9,388.88 shares of Redeemable Preferred Stock for $938,888 and $594,444 in a Subordinated Note with a five-year term. The Subordinated Note pays 11% interest currently and 8% PIK. The Preferred Stock has an 8% dividend rate. In addition, AEP1 purchased 3,355.86 shares of Common Stock of the Company for $3,335.86.

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

On December 1, 2005, AEP1 purchased an additional 3,967.13 shares of Redeemable Preferred Stock for $396,713, 3,355.86 share of Common Stock for $3,335.86 and a $51,942 Subordinated Note. The Subordinated Note pays 11% interest currently and 8% PIK. The Preferred Stock has an 8% dividend rate. This was part of a $1.25 million financing by the existing investors to fund the $3.5 million purchase of Valley Oak Cabinets of Omaha, Nebraska.

On June 27, 2008, AEP1 purchased a $222,918 Subordinated Note as part of an $800,000 financing by current investors. This Note carries an interest rate of 18%, with 9% currently paid and 9% PIK. This funding was done in conjunction with a restructuring of both the bank and the Kolterman debt.

On December 19, 2008, AEP1 purchase a $139,324 Subordinated Note as part of a $500,000 financing by current investors. This funding had been expected to fund new marketing efforts. However due to deteriorating market conditions most of these dollars will be used to improve the Company's balance sheet and projected cash availability.

On June 30, 2011, AEP1's notes originating in 2004, June 2008 and December 2008 along with the associated accumulated interest were converted to a Series B Preferred Stock. The total dollars, $1,838,916.30 (notes of $1,008,627.23 plus interest of $830,289.07) were converted to 18,289 shares, or 19.241% of the Series B equity.

On June 30, 2011, AEP1 deposited $75,000 in M & I Bank, Minneapolis. This amount was AEP1's portion of a $300,000 pledge that was necessary for M & I to continue the loan agreements that were expiring on or around June 30, 2011.

On December 17, 2013, AEP1 purchased $100,000 (1,000 shares) of Class C 8% Cumulative Preferred Stock. The total financing was $650,000 and was provided by insiders. Class C is entitled upon liquidation the first $10 million of distributable proceeds and then 2/3's of any other distributions in excess of $10 million. AEP1 owns 15.38% of the Class C.

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Current Status

The Company continues to balance its bank loan covenants and its accounts payable balances. While both are improving neither would be described as in a good position.

The Company made significant changes in the Minnesota division in and with decreased G&A costs and improved sales efforts there is becoming consistently profitability.

Keys to Success

- Home Depot relationship
- Capturing and delivering high margin product

Exit Strategy

The most likely exit strategy is the sale to a strategic buyer, executing a roll-up strategy and or looking to secure excess manufacturing capacity.

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Historical Financial Performance

Income Statement ($000) – For the historical years ended December 31st (unless otherwise noted.)

	For the FYE ended 12/31						TTM	YTD	Budget	2017
	2011	2012	2013	2014	2015	2016	5/31/17	5/31/17	YTD	Annual Budget
Sales	$ 12,775	$ 12,296	$ 13,138	$ 13,954	$ 13,414	$ 12,337	$ 12,505	$ 5,451	$ 5,672	$ 13,767
COGS	10,625	10,418	10,262	12,477	11,628	10,919	10,993	4,745	4,866	11,782
Gross Profit	2,150	1,878	2,876	1,477	1,785	1,418	1,512	706	806	1,985
Gross Margin	*16.8%*	*15.3%*	*21.9%*	*10.6%*	*13.3%*	*11.5%*	*12.1%*	*13.0%*	*14.2%*	*14.4%*
Expenses	2,164	1,842	4,915	1,702	1,838	1,900	1,478	510	596	1,431
Net Income	(14)	36	(2,039)	(225)	(53)	(482)	34	196	210	554
Depreciation/Int	926	891	1,465	558	734	412	585	245	259	612
EBITDA	912	927	(574)	333	681	360	619	441	469	1,166
EBITDA Margin	*7.1%*	*7.5%*	*-4.4%*	*2.4%*	*5.1%*	*2.9%*	*5.0%*	*8.1%*	*8.3%*	*8.5%*

Balance Sheet as of May 31, 2017			
Cash	($140,319)	Accounts Payable	$1,639,023
A/R, net	718,660	Accrued Liabilities	411,421
Inventory	1,270,494	Line of Credit	1,388,147
Other Current Assets	73,265	Current Portion LT Debt	117,547
Total Current Assets	1,922,100	Total Current Liabilities	3,556,138
PP&E, net	2,709,792	LT Debt	1,620,791
Other Assets, net	3,867,631	Ownership Equity	3,322,594
Total Assets	$8,499,523	Total Liabilities & Equity	$8,499,523

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Capitalization & Equity Schedule

Presented below is the Company's equity ownership structure presented across the different classes of units.

Investor	Common	%	Series A	%	Series B	%	Series C	%
Lewis & Clark Private Equities, LP	3,060	20%	6,089	23%	16,382	23%	1,340	21%
Invest Northwest, LP	1,507	10%	2,999	11%	8,069	11%	660	10%
AAVIN Equity Partners I, LP	6,712	43%	13,356	51%	18,289	26%	1,000	15%
Federal Street Holdings LLC	1,072	7%	2,134	8%	26,344	37%	2,500	38%
Wood Lake SIGI, LLC	1,541	10%	877	3%	759	1%		0%
Fieldston IV, LLC	1,541	10%	877	3%	759	1%		0%
John Fruhwirth							600	9%
Other							400	6%
	15,433	100%	26,333	100%	70,602	100%	6,500	100%

Board of Directors

Name	Position/Affiliation
John Snow	Chairman/Boston Projects
Steve Leese	Director / Fieldston
John Fruhwirth	Director/CEO
David Schroder	Director / Lewis & Clark
Kirk Kaalberg	Director / AEP1

Company Contact Information

Name & Location	Principal Officer
Archon Woodworks, Inc. North State Highway 274 Wood Lake, MN 56297 Voice: (507) 485-3131 Fax: (507) 485-3533 7050 North 97th Plaza Circle Omaha, Nebraska 68122 Phone: (402)573-9244	John Fruhwirth CEO